

M1 G0 - Monetary transmission in the euro area and Türkiye

7 October 2026 | G0 approved; G1 data checked; stop before G2 | Execution window: 7-17 October

Question. How quickly does a 100-basis-point monetary tightening affect inflation, industrial activity and exchange rates, and how sensitive is the answer to identification?

Series contract. Monthly; exact selectors below. Eurostat keys follow dataset dimension order. EA uses constant-composition EA21, conditional on back-series coverage. L = 100 times log level; R = rate in percentage-point levels; G = 100 times monthly log difference, robustness only. Daily financial observations become arithmetic monthly means before transformation. NSA prices use month dummies; already seasonally/calendar-adjusted IP is not adjusted twice.

Area / variable	Official source and exact ID / selector	Transform
EA industrial production	Eurostat sts_inpr_m: M.PR.D.B-D.SCA.I21.EA21	L
EA HICP headline / core	Eurostat prc_hicp_minr: M.I25.TOTAL.EA21 / L M.I25.TOT_X_NRG_FOOD.EA21	/ L
EA overnight rate	ECB FM.M.U2.EUR.4F.MM.EONIA.HSTA EST.B.EU000A2X2A25.WT	/ R; EONIA through 2019-09, then €STR
EA two-year policy indicator	ECB YC.B.U2.EUR.4F.G_N.A.SV_C_YM.SR_2Y	R; separate sample from 2004-09
EA EUR/USD	FRED DEXUSEU (USD per EUR)	L; increase = EUR appreciation
TR industrial production	EVDS TP.TSANAYMT2021.BCD	L
TR CPI / core B / core C	EVDS TP.TUKFIY2025.GENEL / TP.FE25.0KTG03 / TP.FE25.0KTG04	L; historical bridge below
TR funding-cost indicator	EVDS TP.APIF0N4 (AOFM)	R; use only its observed history
TR announced policy rate	CBRT O/N Borrowing / 1 Week Repo, Lending tables (no verified EVDS ID)	R; effective-date daily steps, monthly means
TR USD/TRY / CPI-based REER	EVDS TP.DK.USD.A.YTL / TP.RK.T1.Y	L; also VECM
External Brent / VIX / US rate	FRED DC0ILBRENTU / VIXCLS / FEDFUNDS	L / log-level / R
TR two-/ten-year yields	Out of scope unless a permitted official source is verified at G1	R if a permitted source is verified

Levels decision. Baseline retains 100×log IP, prices, FX and REER, and percentage-point rate levels. Possible unit roots do not trigger differencing; OLS levels-VAR estimation follows Sims–Stock–Watson (1990), with inference caveats. Growth/differenced runs are robustness checks; unit-root/break diagnostics inform the separate VECM.

Samples. Targets: EA baseline 2004-09-2026-07 (ECB 2-year yield); overnight-rate robustness 1999-12-2019-12 (eleven earlier EA21 HICP months unavailable) (pre-ZLB-heavy comparison); TR target 2006-01-T, AOFM baseline only over its observed history; T = latest jointly observed complete month at G1, currently planned 2026-07. Fetch one preceding month for G. No interpolation. For pre-2026 TR prices, test the overlap bridge to TP.GENENDEKS.T1, TP.FE.0KTG03, TP.FE.0KTG04; rebasing must preserve growth and disclose classification changes. TR policy comparator uses O/N borrowing before 20 May 2010, then one-week repo; AOFM is the main effective-rate indicator where available. Non-overlapping regime checks: 2006-01-2010-11; 2010-12-2018-05; 2018-06-2023-05; 2023-06-T. Short regimes require parsimonious models, not a full seven-variable VAR.

G1 extension check. Bundesbank 2-year German zero-coupon terms/history verified; use only as a labelled 1999-12-2026-07 robustness indicator, with source attribution and author aggregation disclosed. TR 2y/10y yields are nonblocking and otherwise excluded.

Identification and checks. ADF/KPSS/PP and Zivot-Andrews; diagnostics only, never an automatic baseline differencing rule. AIC/BIC/HQ over 1-12 lags, BIC baseline, stability, residual LM/normality and Granger diagnostics. Recursive order: external block, activity, headline inflation, policy indicator, FX; TR external equations exclude domestic current/lagged feedback. Core replaces headline in robustness runs. Bootstrap 68/90% IRFs to 36 months, FEVD and inflation historical decomposition. Compare sign restrictions (rate positive; cumulative price response nonpositive, months 0-3; activity/FX unrestricted); accepted-draw spread is not a confidence interval. LP uses the same identified shocks/controls and Newey-West HAC lag h+1; joint bootstrap propagates shock-estimation uncertainty. Johansen/VECM only for empirically I(1) log CPI/FX/REER. Optional EA proxy-SVAR: monthly EA-MPD surprises, only after workbook-column, reuse-rights and instrument-strength checks. No raw dataset redistribution.

Outputs / risks. EA/TR IRF panels, FEVD, inflation decomposition, LP-versus-VAR, two-page report/policy_note.pdf, ten theory notes and LinkedIn figure; tables generated from code, PNG 300 dpi + PDF. Risks: ZLB, rate-splice discontinuity, regime instability, seasonal/rebasing breaks, small samples, EA21 history, missing TR yields, VIX/EA-MPD reuse limits and instrument information effects. G1 must verify coverage/terms and report gaps; no silent substitutions. No paid APIs or thesis reuse. **G1:** report data checks and source gaps, stop if blocked. Priority: data → recursive SVAR + LP → signs → TR VECM → optional proxy; theory notes after G2. Source links and verification detail: DATA.md.